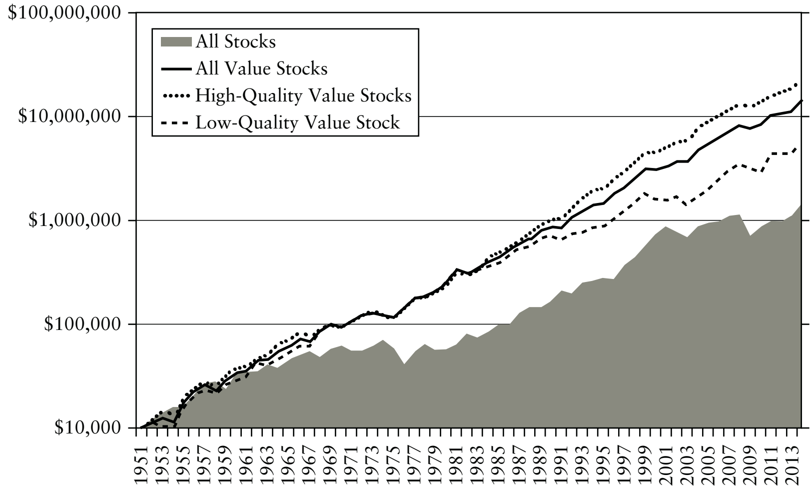

FIGURE 10.3 Performance of All Value Stocks Compared to High- and Low-Quality Value Stocks and All Stocks, Market Capitalization Weight (1951 to 2013)

gross profits-to-total assets measure to identify high-quality stocks in the value decile is a good idea. It would also seem inimical to the thesis of this book that that lower-quality stocks tend to outperform higher-quality stocks.

There are, however, several problems with this conclusion. First, the high-quality value portfolios do not consistently outperform the low-quality value portfolios. Figure 10.3 shows that they slightly underperformed the low-quality value portfolios to 1982, the entire first half of the period examined. All of the high-quality value portfolios' admittedly impressive outperformance occurs in the second half of the data. Further, the high-quality portfolios underperformed the low-quality portfolios in 27 of the 63 years examined, which means that the low-quality portfolios were a better bet fully 43 percent of the time. Strikingly, in the second half of the data—when the high-quality portfolios were outperforming the low-quality portfolios on a compound basis—the high-quality portfolios actually underperformed the low-quality portfolios in 17 out of 32 years, or more than half of the time. The high-quality portfolios also underperformed in 31 percent of rolling five-year periods. The lack of consistency in the performance of the high-quality value portfolios relative to the low-quality portfolios doesn't inspire confidence that the high-quality portfolios can be relied upon to outperform. The second problem with the performance of the high-quality metric is that it has not been replicable in international stock markets. This suggests the possibility that the relationship between quality and returns may be due to